$$\text{Average trade payables} = \frac{\text{Opening trade payables + Closing trade payables}}{2}$$

$$= \frac{40,000 + 50,000}{2} = \frac{90,000}{2} = ₹\ 45,000$$

$$\text{(iv) Fixed assets turnover ratio} = \frac{\text{Revenue from operations}}{\text{Average fixed assets}} = \frac{10,50,000}{5,25,000} = 2 \text{ times}$$

$$\text{Average fixed assets} = \frac{\text{Opening fixed assets + Closing fixed assets}}{2}$$

$$= \frac{5,50,000 + 5,00,000}{2} = \frac{10,50,000}{2} = ₹\ 5,25,000$$

9.6.4. Profitability ratios

Profitability ratios help to assess the profitability of a business concern. These ratios also help to analyse the earning capacity of the business in terms of utilisation of resources employed in the business. Generally these ratios are expressed as a percentage.

The profitability ratios commonly used are

(i) Gross profit ratio
(ii) Operating cost ratio
(iii) Operating profit ratio
(iv) Net profit ratio
(v) Return on investment

(i) Gross profit ratio

Gross profit ratio is the proportion of gross profit to net revenue from operations. Gross profit ratio shows the margin of profit available out of revenue from operations. It is computed as below:

$$\text{Gross profit ratio} = \frac{\text{Gross profit}}{\text{Revenue from operations}} \times 100$$

Gross profit = Revenue from operations – Cost of revenue from operations
A higher gross profit ratio indicates high profitability. It should be sufficiently high to provide for indirect expenses to be paid by a business.

Illustration 13

Calculate gross profit ratio from the following:
Revenue from operations ₹ 1,00,000, Cost of revenue from operations ₹ 80,000 and purchases ₹ 62,500.

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